

Table 49.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Subtract the highest high from the lowest low in the pipe (to get the pattern's height) and add it to the highest high. The result is the target price. The bottom portion of the table shows the success rate of the measure rule using various heights.
Downward trend	Many of the best performing pipes show a downward price trend leading to the pipe. Pipes often occur at the bottom of a retrace in an upward price trend or mark the end of an extended price decline.
Wait for confirmation	Wait for price to close above the highest high in the pattern.
Buy	After a pipe bottom passes the identification characteristics shown in Table 49.1 (including confirmation), buy the stock.
Stop location	Pipes form a support zone, but price sometimes dips up to a half point below the pipe low (weeks or longer after confirmation), so use that as your stop-loss point. Raise your stop as price climbs.

Description	Bull Market	Bear Market
Percentage reaching half height target	90%	84%
Percentage reaching full height target	77%	60%
Percentage reaching 2× height	56%	33%
Percentage reaching 3× height	43%	20%

Once you know the target, convert the move into a percentage of the current price and compare it to [Table 49.3](#). For example, if price is expected to climb by \$5 in a stock current trading at \$50, that's a 10% move. [Table 49.3](#) says (you have to listen closely) that 19% of pipes will fail to see price rise more than 10% in bull markets. That's reasonable. It means you have an 81% chance of making a decent profit if you trade it properly.